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Case Number: 24NWCV04924 Hearing Date: August 11, 2026 Dept: P

JOEL CESSNA, ET AL. v. EDWARD YOUNG, ET AL.

CASE NO.: 24NWCV04924

HEARING: 08/11/2026 @ 9:30 AM

#9

TENTATIVE ORDER

Defendant Edward Young's demurrer to the first amended complaint is SUSTAINED with 30 days LEAVE TO AMEND in part, OVERRULED in part, and MOOT in part. See below for a detailed ruling.

Moving party to give notice.

Defendant Edward Young (Defendant or Young) demurs to the first amended complaint (FAC).

Background

On December 18, 2024, Plaintiffs Joel R. Cessna (Cessna) and The Young and Cessna Partnership (the Partnership), a general partnership (Plaintiffs), filed this breach of contract action against Defendants Edward L. Young, Sunny Rose Corporation (SRC), Junk King Enterprises, Inc. (JKE), Junk King Franchise Systems, Inc. (JKFS), and Does 1 through 10. On April 16, 2026, following the Court's ruling on Young's demurrer to the complaint sustaining the demurrer with leave to amend, Plaintiffs filed the operative FAC.

The FAC alleges the following: Young and Cessna have known each other for over thirty years. (FAC, ¶ 13.) In 2011, Young joined JKE and/or JFKS as a franchise owner and encouraged Cessna to invest in the Junk-King franchise (Franchise). (FAC, ¶¶ 14-15.) On June 17, 2011, Young and Cessna executed a partnership agreement (Partnership Agreement) under which the two would be legal partners in the Franchise and by which "Young agreed to sell a 49% working interest in the Franchise to Mr. Cessna for the sum of \$250,000.00. Mr. Cessna's 49% working interest was to be a fully participating partnership interest in every aspect of the Franchise with no exclusions or exceptions of any kind whatsoever." (FAC, ¶¶ 16-19.) The FAC alleges that since then, Young breached the Partnership Agreement by paying Cessna less than the amount owed, underperforming under the Partnership Agreement, and misrepresenting the nature of Cessna's investment. (FAC, ¶¶ 26-46.) Prior to the formation of the Partnership Agreement and without Cessna's knowledge, Young incorporated SRC. (FAC, ¶ 22, 25.)

The FAC alleges an alter ego relationship between Young and SRC. (FAC, ¶¶ 22-25.)

The FAC asserts nine causes of action: (1) breach of contract, (2) breach of implied covenant of good faith and fair dealing, (3) violation of Corporations Code section 25401, (4) breach of fiduciary duty, (5) violation of Penal Code section 496, (6) accounting, (7) declaratory relief re Cessna's share of the franchise, (8) declaratory relief re JKE, and (9) declaratory relief re JFKS.

This is a continuation. On June 30, 2026, this demurrer first came on for hearing. The Court continued this demurrer to today's date and ordered the parties to meet and confer. On July 16, 2026, the parties filed a Joint Stipulation regarding their meet and confer process.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) In assessing a demurrer, the court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of law." (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a

cause of action.” (Hahn, supra, 147 Cal.App.4th at p. 747.) A complaint will be upheld against a demurrer if it pleads facts sufficient to place the defendant on notice of the issues sufficient to enable the defendant to prepare a defense. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 549-50.)

Code of Civil Procedure

section 430.10, subdivision (f) provides for a demurrer when a pleading is uncertain. Demurrers for uncertainty are disfavored and are only sustained where a pleading is so incomprehensible a defendant cannot reasonably respond. (A.J. Fistes v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695; Khoury v. Maly's of California (1993) 14 Cal.App.4th 612, 616.)

“Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) A “[p]laintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.” (Ibid.)

Meet and Confer

Code of Civil Procedure section 430.41 requires that the demurring party meet and confer in person, by telephone, or by video conference at least five days before the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a).) The demurring party shall file and serve a declaration stating either: (a) “The means by which the demurring party met and conferred...and that the parties did not reach an agreement resolving the objections raised in the demurrer” or (b) “[t]hat the party who filed the pleading subject to demurrer failed to respond to the meet and confer request...or otherwise failed to meet and confer in good faith.” (Code Civ. Proc., § 430.41, subd. (a)(3).)

The parties have adequately met and conferred. (Joint Decl.)

Discussion

Defendant demurs to the FAC on the grounds of standing, that the claims are barred by the statute of limitations, and that the statutory claims are improper. The Court proceeds to rule on the demurrer in the order the arguments are raised in the demurrer.

Standing

Defendant demurs to the FAC on the grounds that Plaintiffs fail to allege facts to support Cessna's standing to bring claims belonging to the Partnership.

Individual partners may not sue for damage to the partnership property or to their individual "beneficial interest" in the property. (Mayer v. C.W. Driver (2002) 98 Cal.App.4th 48, 60.) But a partner may maintain a derivative suit on behalf of the partnership where the partnership itself fails or refuses to sue. (Everest Investors 8 [Everest] v. McNeil Partners (2003) 114 Cal.App.4th 411, 425.) "An action is derivative, that is, in the corporate right, " "if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets." (Ibid.) "California cases recognize that a stockholder's individual suit " "is a suit to enforce a right against the corporation which the stockholder possesses as an individual." (Id., at p. 426.)

Here, as argued by Defendant, the FAC does not allege that Cessna is proceeding derivatively as it does not allege a demand or excuse. The FAC seeks recovery on behalf of both Plaintiffs. The Court agrees that there are issues of standing as Plaintiffs, Cessna and the Partnership, are simultaneously bringing claims in the same action. Cessna cannot bring claims that belong to the Partnership without pleading derivative standing prerequisites.

Plaintiffs do not appear to address standing in their opposition except to argue that they plead claims in the alternative. While pleading claims in the alternative is permitted, this does not excuse the requirements for establishing standing. Plaintiffs also fail to allege or argue regarding the gravamen of their claims for standing purposes.

Accordingly, Defendant's demurrer is SUSTAINED with 30 days LEAVE TO AMEND as to Cessna's standing to bring claims.

Statute of Limitations

Defendant argues that the FAC shows that Plaintiffs' claims are time-barred under the statute of limitations.

"The statute of limitations usually commences when a cause of action 'accrues,' and it is generally said that 'an action accrues on the date of injury.' [Citation.] Alternatively, it is often stated that the statute commences 'upon the occurrence of the last element essential to the cause of action.'" (Bernson v. Browning-Ferris Indus. (1994) 7 Cal. 4th 926, 931.) "A plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. The burden is on the plaintiff to show diligence, and conclusory allegations will not withstand demurrer." (E-Fab, Inc. v. Accountants, Inc. Services (2007) 153 Cal.App.4th 1308, 1319.) Under the delayed discovery rule, a cause of action accrues at the time when the cause of action is complete with all its elements. (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 806 807.) The test for when the statute of limitations on a claim starts to run under the delayed discovery rule is "whether the plaintiff has information of circumstances sufficient to put a reasonable person on inquiry, or has the opportunity to obtain knowledge from sources open to his or her investigation." (McGee v. Weinberg (1979) 97 Cal.App.3d 798, 803.)

The FAC alleges Defendant and Cessna entered into the Agreement on June 17, 2011. (FAC, ¶ 16.) The FAC alleges Cessna made two contributions and that "as soon as Mr. Cessna made his initial contributions, Young began breaching the material terms of the Agreement, excusing Mr. Cessna from further performing under the Agreement." (FAC, ¶¶ 26-30.) The FAC alleges that "[f]rom 2017 through 2020, Young paid Mr. Cessna \$202,400.00 in five installments." (FAC, ¶ 31.) The FAC alleges Defendant issued Cessna a check in September of 2022 which did not clear. (FAC, ¶ 33.) Additionally, "[i]n May 2024, Young finally provided Mr. Cessna with records detailing the Franchise's finances—after years of stonewalling and refusing to provide Mr. Cessna with any information regarding the Franchise's finances, profits, or ongoing business." (FAC, ¶ 37.) The FAC alleges that Cessna did not discover and did not know facts to lead him to "to suspect the degree of harm that Young had caused Mr. Cessna and the Partnership through his continuous breach of the Agreement." (FAC, ¶ 39.)

In opposition, Plaintiffs again argue that because the

breaches are continuing, they have not accrued. Plaintiffs rely on *Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1191 for this proposition. The FAC alleges “Young breached and continues to breach the Agreement by unilaterally making purchases and acquisitions for the Franchise without consulting Mr. Cessna or obtaining his consent”; “Young breached and continues to breach the Agreement by intentionally concealing and withholding the Franchise’s profits from Mr. Cessna”; and “Young also breached and continues to breach the Agreement by stonewalling Mr. Cessna from all the Franchise’s business decisions.” (FAC, ¶¶ 61-63.) Cessna notes that the franchise records he obtained in 2024 showed the stonewalling. (FAC, ¶ 63.)

As explained in the prior demurrer, Plaintiffs’ reliance on “continuing violations” does not cure prior any statute of limitations issues for prior breaches. However, the Court finds that on the face of the complaint, Plaintiffs allege facts to put Plaintiffs on notice of the claims in May of 2024, upon discovery of the stonewalling, or possibly September of 2022, upon the check. The FAC alleges Plaintiffs’ inability to discover the relevant facts based on Defendant’s stonewalling prior to May of 2024. (FAC, ¶ 63.) The statute of limitations for actions based upon a contract is four years. (Code Civ. Proc., § 337.) As this action was commenced in December of 2024, the Court finds that on the face of the pleading, using the September of 2022 or May of 2024 dates of discovery, Plaintiff’s contractual claims are timely.

Defendants’ demurrer is OVERRULED as to arguments regarding statute of limitations.

Fifth

Cause of Action – Penal Code Section 496

Defendant’s arguments under Penal Code section 496 are moot.

The parties’ joint separate statement provides: “Defendant Young has determined that he no longer requests a ruling on the Fifth Cause of Action for Violation of Penal Code section 496. The parties agree that the Fifth Cause of Action is expressly pled against Defendant Sunny Rose Corporation, and not against Defendant Edward L. Young.” (Joint Decl., ¶ 4.)

Defendant’s demurrer to the third cause of action is MOOT.

Third

Cause of Action – Violation of Corporations Code Section 25401

Pursuant to Corporations Code section 25401: "It is unlawful for any person to offer or sell a security in this state, or to buy or offer to buy a security in this state, by means of any written or oral communication that includes an untrue statement of a material fact or omits to state a material fact necessary to make the statements made, in the light of the circumstances under which the statements were made, not misleading." Corporations Code section 25019 defines "security."

Defendant demurs to the third cause of action on the grounds that the FAC fails to allege facts to establish that the transaction at issue involved a security.

In opposition, Plaintiffs argues that the FAC alleges Young sold and continues to sell a security by way of a written communication that includes an untrue statement of material fact. (FAC, ¶¶ 90-92.)

The Court finds that the FAC adequately alleges that the Agreement is a security. The FAC alleges that "[t]he Agreement is an investment contract. Mr. Cessna's sole obligation under the Agreement is to provide Young with start-up funds to launch the Franchise. In return for his investment in the Franchise, the Agreement entitles Mr. Cessna to a 49% working interest in the Franchise." (FAC, ¶ 91.) Moreover, the FAC alleges a "security" through evidence of indebtedness and, alternatively, "the extent that Young never intended to form the Partnership: Young sold a security by way of a written communication that includes an untrue statement of fact because he fraudulently secured a loan for SRC from Mr. Cessna while misrepresenting the loan as a 49% working interest as a partner in the Franchise in the Agreement." (FAC, ¶¶ 95-96.) Therefore, on the face of the pleading, the FAC adequately alleges a security. (See Corp. Code, § 25019 [" 'Security' means any note; stock; treasury stock; membership in an incorporated or unincorporated association;...evidence of indebtedness;... investment contract;..."].)

Accordingly, Defendant's demurrer to the third cause of action is OVERRULED.

Declaratory
Relief Causes of Action

Defendant demurs to the seventh, eighth, and ninth causes of action for declaratory relief on the grounds that the claims are improper and

duplicative.

Code of Civil Procedure section 1060 provides: “Any person interested under a written instrument...or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in...may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract.” A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action. (*General of America Insurance Co. v. Lilly* (1968) 258 Cal.App.2d 465, 470.)

As to the seventh cause of action the FAC seeks a declaration regarding Cessna's share under the Agreement. (FAC, ¶ 137.) As to the eighth cause of action, the FAC seeks a declaration as to whether Young committed securities fraud or engaged in illicit business practices while operating a franchise license issued by JKE. (FAC, ¶ 141.) For the ninth cause of action, the FAC seeks a declaration as to whether Young committed securities fraud or engaged in illicit business practices while operating a franchise license issued by JKFS. (FAC, ¶ 145.)

The Court finds that the declaratory relief causes of action are adequately pled and seek judicial declarations arising out of the Agreement. On the face of the FAC, Plaintiffs allege ongoing damages as the partnership remains undissolved, and therefore, the declaratory relief claims do not only seek determinations of past wrongdoing.

Therefore, Defendant's demurrer as to the declaratory relief causes of action is OVERRULED.

Uncertainty

Defendant lastly demurs to the complaint on the grounds that it is uncertain and internally inconsistent because it pleads inconsistent theories of liability. Specifically, Defendant argues that the alternative theories, “that no partnership was ever formed, that a partnership was formed and invested in a corporation, and that Defendants stole the investment altogether” are conflicting such that it renders the FAC uncertain. (Dem.,

9:22-23.)

The Court does not agree that the alternative pleading here renders the action “so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp., *supra*, 38 Cal.App.5th at p. 695.)

The Court does not sustain the demurrer based on uncertainty.

In sum, Defendant’s demurrer to the FAC is SUSTAINED with 30 days LEAVE TO AMEND in part, OVERRULED in part, and MOOT in part.

The demurrer is SUSTAINED with 30 days LEAVE TO AMEND as to the issue of Cessna’s standing and derivative liability.

The demurrer is OVERRULED as to the statute of limitations and the third, seventh, eighth, and ninth causes of action.

The demurrer is MOOT as to the fifth cause of action.